

HOW TO BUILD A FUND

Use Nifty 50 / Nifty 100 index funds as the low-cost core. Layer a few satellites where you want deliberate tilt

GROWTH TILT:

► Nifty Next 50 or Nifty Midcap 150 have higher dispersion, so size them modestly

RISK-CONTROL / QUALITY TILT:

► Nifty 100 Low Vol 30, Nifty 200 Quality 3, useful as ballast against momentum-heavy cap-weight portfolios

DEBT CORE:

► Target-maturity bond ETFs/Index Funds (e.g., Bharat

Bond) to lock in high-quality PSU bond ladders with visibility on yield-to-maturity

DIVERSIFIERS:

► Gold ETFs/SGBs for shock-hedge; S&P 500 fund of funds for dollar earnings and currency diversification

PRECISION TOOLS:

► Use liquid/overnight ETFs to equitise cash and reduce drag while you await active opportunities

RESULT: A clean architecture, cheap, rules-based core; intentional, sized satellite bets; and simpler portfolio maintenance

SOURCE VALUE RESEARCH



AUTOMATE, REBALANCE, SIMPLIFY

Automate buys: SIP/STP into core index funds—drawdowns buy you more units, converting volatility into future returns

Rebalance by bands: Set 5–10% bands (eg, equity 60% $\pm$ 5%). When breached, sell what ran, add to what fell—a systematic buy-low/sell-high

Fewer moving parts: Index funds curb overtrading and narrative chas-

LOW COSTS

Investors opting for passive funds should realise the numbers game. “As cost and diversification impact the portfolio’s returns and risk, passive funds provide investors an opportunity to get market returns from a diversified set of stocks at very low cost,” says Abhishek

Kumar, a Securities and Exchange Board of India (Sebi)-registered investment advisor (RIA), and founder and Chief Investment Advisor of SahajMoney, a financial planning firm.

Index funds are among the lowest-cost products. This is because they simply track a benchmark like

the Nifty 50 or Sensex. They don’t require stock selection. As a result, their expense ratios are typically in the 0.1–0.3% range. Actively managed equity funds, on the other hand, employ fund managers and research teams to outperform the benchmark, and their expense ratios usually fall between 1.5–2.25%. This